

Margin Utilization and Position Sizing

One of the questions that I get asked all of the time is how big should I size each trade for the ETF strategy and how much margin should we be utilizing.

The answer to this question is not black and white. So in this chapter we are going to cover some of the guidelines and tips that you can use to help you decide how big you should be trading.

How big should you trade on day one of running the strategy?

Something that I recommend to all of our members is that they start small when they implement the strategy. The beauty with these strategies is that the edge isn't going anywhere, so there is no crazy rush to get all the profits today.

Pick a couple of tickers from the ETF scanner. Trade a single strangle swap structure on each of them. Take your time and see how they go. You don't need to utilize your margin optimally and maximize your return on your portfolio on day one.

Here is a screenshot of what a reasonable portfolio to start with looks like.

P&L				+ PROFILE		+ FINANCIAL		+ IMPACT		Margin				+ ACCOUNT			
DAILY		35	Unrealized					-110.2		Net Liquidity		12.3K	Excess Liq		6.7K		
Since prior Close		0.29%	Realized							Maintenance		5.0K	SMA		--		
+/-		DLY	...		FIN INSTRUMENT ▲				POS	MKT	VAL	AVG	PX	LAST	DELTA	PORTF	DELTA
⊕	-13	XLE		Dec 79/96 Strangle					1	185	2.62	2		M1.86	0.044	4.396	
⊕	58	XLE		Sep 84.5/88.5 Short Strgl					1	-13	-0.43	9		M-0.07	-0.349	-34.866	
⊕	6	XLP		Dec 80/90 Strangle					1	120	1.24			M1.17	-0.233	-23.321	
⊕	0	XLP		Sep 82.5/85 Short Strangle					1	-18	-0.26	6		M-0.09	0.525	52.537	
⊕	-20	XLV		Dec 145/165 Strangle					1	213	2.88	5		M2.20	0.009	0.886	
⊕	-5	XLV		Sep 155/159 Short Strgl					1	-25	-0.61	9		M-0.19	0.444	44.386	

This is the account that I am trading with the PA community to showcase how to run the ETF strategy. As you can see, we are trading three tickers, with a single strangle swap on each of them. We have about 40% of our margin utilized, and some decent diversification. The daily change in PnL is low, and at this size we are able to comfortably measure the performance without needing to be too worried that we are making a big mistake.

Remember, we also have a hedge on for each position, so it's pretty comfortable. This is a pretty good starting portfolio sizing to consider.

If you are trading with a larger account, still keep things small to start and maybe consider adding more trades in small sizes (the more diversification, the better!).

With that being said, as you grow in confidence you are going to want to start increasing your trade size. This is where the conversation about margin utilization needs to be had.

How much of your portfolio should be in trades?

Margin utilization refers to the percentage of your account balance that is allocated towards maintaining positions. When running these strategies, the amount of margin you use is basically determined by balancing potential returns and risk management. Because of this balancing act, there is no “one size fits all” answer.

The three biggest considerations in margin are:

1. **Maximizing Returns:** The more margin utilization, the bigger your overall exposure to the strategy (either by having larger positions or more positions on). If our goal is to maximize our absolute returns, we want to utilize as much of our margin as possible without “blowing up”, which means taking too big of a drawdown if things go against us that we can’t recover.
2. **Margin Calls:** If your positions move against you, or the market becomes more volatile, your margin requirement is likely to increase. If you have already utilized the majority of your margin that is made available to you, you start to enter the “margin call” territory. Basically, you can be forced out of a trade and to take the current loss if you exceed your available margin.
3. **Diversification:** Utilizing more margin allows you to put on more trades, which under normal market conditions increases your diversification, smoothening your PnL.
4. **Correlation Risk:** When there is a significant volatility event in the overall market, the correlation between individual trades can increase significantly. This means that in this circumstance, it’s the equivalent of having all your utilized margin in a single trade.

Balancing the correlation risk and margin calls with returns maximization and diversification is the art & science of margin utilization.

At a basic level you can think of your personal approach to margin utilization as falling into one of these three categories:

1. **Conservative Approach:**
 - **Margin Utilization:** 20-30%
 - **Reason:** This range allows for significant flexibility to manage unexpected market movements and volatility spikes. It provides a buffer to avoid margin calls and to take advantage of market opportunities without being over-leveraged.
2. **Moderate Approach:**
 - **Margin Utilization:** 30-50%
 - **Reason:** This range is suitable for traders with a balanced risk tolerance. It allows for a more aggressive stance while still maintaining a safety buffer to manage drawdowns and volatility shocks.

3. Aggressive Approach:

- **Margin Utilization:** 50-70%
- **Reason:** This range is for traders with a higher risk tolerance who are willing to take on more leverage for higher returns. It is essential to have robust risk management strategies in place, as this level of utilization can lead to significant losses during adverse market conditions.

Some tips for sizing trades specifically for the ETF Strategy

When you are placing trades, a couple of things that you will want to consider are the following:

Increase margin utilization through diversification

It's important to remember that in this strategy we are not forecasting the returns in the short term for a particular ETF. We are putting together a basket of ETFs that exhibit the positive variance risk premium and extracting the average premium across them over time.

This means that a very important part of the strategy is to have multiple trades across ETFs. If you are looking to utilize more of your margin, consider doing it by adding more tickers to your portfolio, so you get the added benefit of increased diversification.

Leave room for volatility and margin requirements to expand

Most of the time, the market is going to be pretty calm and you are going to collect a great premium. But we can't allow ourselves to become greedy during this time and become overleveraged. It's important to remember that during times when the market crashes (or experiences a large downturn) that a lot of our positions are going to become more correlated and that our margin requirements are going to increase. If we have already used 100% of our margin, we are going to be forced to liquidate our positions at a significant loss. We do not want this to happen.

So even when things are going good, don't get greedy. Leave room for your margin requirements to expand.

Keep the position sizing for each trade similar

In this strategy when we put on a basket of the ETF trades, we do not fundamentally believe that one ETF in the portfolio is better than another. We want to be treating each of the trades the same, and that includes making sure our exposure to each of them is similar too.

Remember that depending on the underlying price of the ETF, you may need to trade different numbers of lots to make sure your exposure is similar for each of the trades. For example, you may have more lots traded on a ticker with a share price of \$50 compared to a ticker with a share price of \$100.

Regardless of your personal risk tolerance, effective margin utilization is essential for optimizing trading strategies. And in the end, the choice is yours with regards to how leveraged you want to be. I typically recommend starting with a smaller capital allocation when starting the strategy so that you can iron out any execution errors, get used to the variance, and grow in confidence as you see your live results reflect the expectations set by the research

Place meaningful bets, but don't get greedy

Especially in the early days of running this strategy, the way I would think about things is that you want to allocate enough capital that the returns (and risks) are meaningful to you. But you don't want to be trading such large sizes that mistakes cause irreparable damage.

The reason this is a good rule of thumb is because the trade sizing will be *just big enough* that you care about the position. This means you will manage it appropriately, review your performance, learn how to execute better and overall have a better experience with the strategy. Trade too small, and you might become complacent. Trade too big, and you don't leave room for mistakes/learning. ‘

No right answer, but there's definitely wrong answers

As you can see, there is really no right answer with how to size your trades, but there are definitely some wrong answers. Just don't get greedy, think about keeping a buffer for your margin, and remember you can always adjust how much of your margin you utilize in the future.